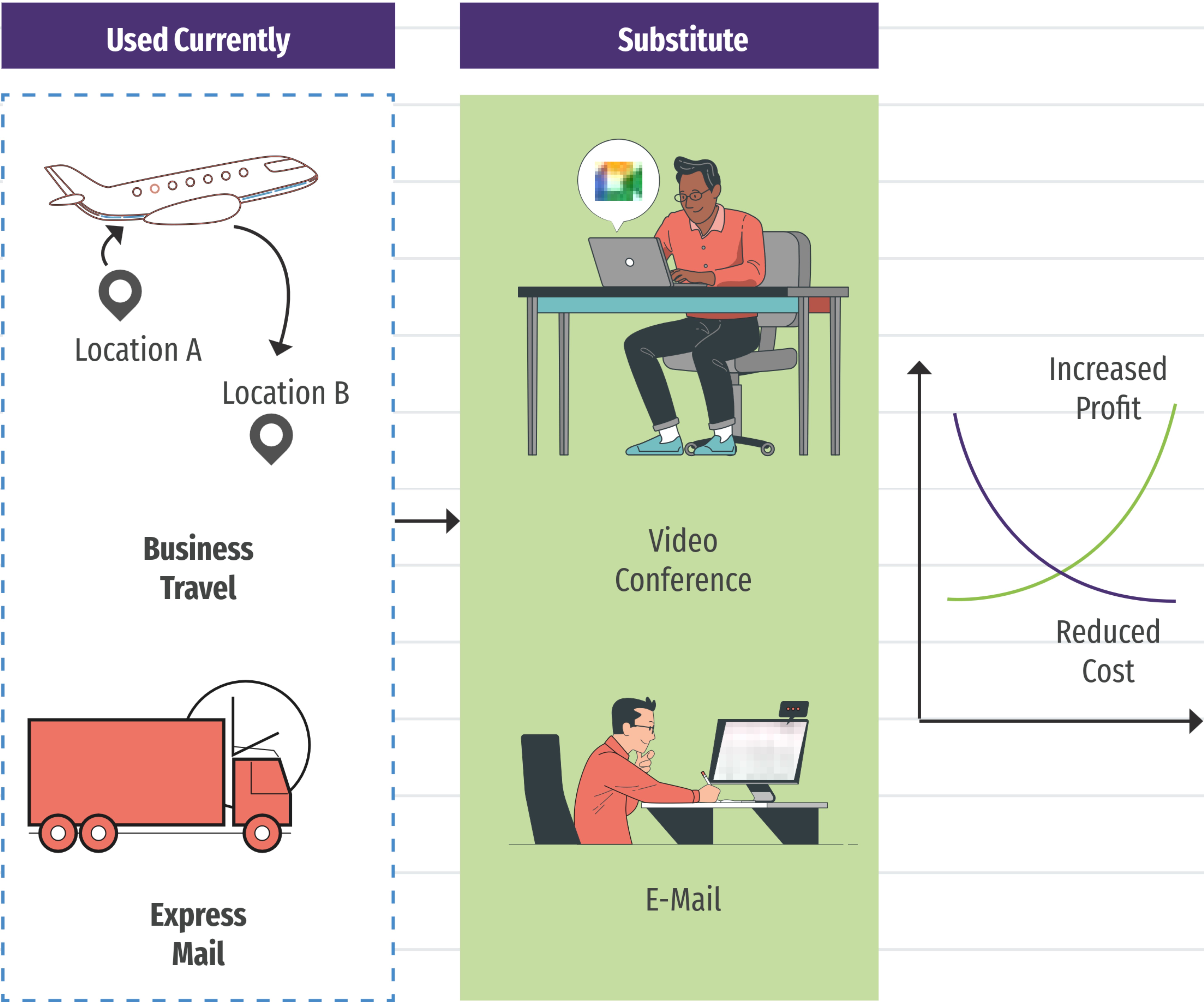


4. Threat of Substitute Products or Services

The threat of substitute products or services refers to the risk to an industry when customers can fulfill their needs with substitutes that are different but still have the same purpose. For example, video conferencing can be used to substitute for business travel, and email can be used to substitute for express mail.



When these substitutes are available, they can impact the profitability of the industry. This threat is particularly significant when the substitute offers a better price-performance ratio compared to the industry’s offerings or when the cost for customers to switch to the substitute is low.